

LUXORA FINANCE LTD.

Money Services Business | Canada

RISK ASSESSMENT POLICY

ML/TF Risk Assessment Policy

Document Type	Policy
Version	1.0
Effective Date	April 23, 2026
Classification	CONFIDENTIAL
Approved By	Board of Directors
Next Review	April 23, 2027

1. PURPOSE

This Risk Assessment Policy establishes Luxora Finance Ltd.'s framework for identifying, assessing, and mitigating money laundering (ML) and terrorist financing (TF) risks inherent in its operations as a registered Money Services Business (MSB) in Canada. The policy supports compliance with the Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA) and FINTRAC's risk-based approach guidance.

2. REGULATORY BASIS

FINTRAC requires all reporting entities to assess their risks and take reasonable measures commensurate with those risks. The risk-based approach (RBA) is embedded throughout the PCMLTFA and is the cornerstone of FINTRAC compliance examinations. Failure to conduct adequate risk assessments is a significant compliance deficiency that may result in administrative monetary penalties (AMPs).

3. SCOPE OF RISK ASSESSMENT

Luxora's risk assessment program covers four primary risk domains:

PRODUCTS & SERVICES	CLIENTS & COUNTERPARTIES	GEOGRAPHY & JURISDICTIONS	DELIVERY CHANNELS
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4. BUSINESS-WIDE RISK ASSESSMENT (BWRA)

4.1 Frequency and Trigger

- Conducted at minimum annually by the Chief Compliance Officer.
- Ad-hoc review triggered by: new products/services, entry into new geographic markets, significant change in client demographics, FATF/FINTRAC regulatory update, or adverse compliance examination finding.

4.2 BWRA Methodology — Products and Services Risk

Product / Service	Inherent ML/TF Risk Level
International money transfers — wire/SWIFT	HIGH — cross-border movement, correspondent networks, layering vehicle
Virtual currency exchange (Bitcoin, Ethereum, etc.)	HIGH — pseudonymity, irreversibility, global reach, mixer/tumbler risk
Foreign exchange — large amounts, cash	HIGH — cash-intensive, conversion between currencies obscures trails
Prepaid payment products (PPPs)	MEDIUM-HIGH — bearer instruments, loading from unknown sources
Domestic money transfers	MEDIUM — lower geographic risk but structuring/layering possible
Foreign exchange — small amounts, verified clients	MEDIUM — standard MSB risk
Cheque cashing — payroll or government cheques	LOW-MEDIUM — verifiable source but identity fraud risk

4.3 BWRA Methodology — Client Risk

Client Characteristic	Risk Level
Foreign PEP or HIO	VERY HIGH
Client in FATF-listed high-risk jurisdiction	HIGH
Client with complex ownership structure / trust	HIGH
Non-resident client (transacts remotely from abroad)	HIGH
Cash-intensive business operator (restaurant, retail, etc.)	MEDIUM-HIGH
Domestic PEP / HIO (where high risk confirmed)	MEDIUM-HIGH
Self-employed or small business owner	MEDIUM
Salaried employee with verifiable employer	LOW
Canadian government employee or pensioner	LOW

4.4 BWRA Methodology — Geographic Risk

Jurisdiction Category	Risk Level
FATF 'High-Risk Jurisdictions Subject to a Call for Action' (Black List)	CRITICAL — enhanced scrutiny; consider prohibition
FATF 'Jurisdictions Under Increased Monitoring' (Grey List)	HIGH — mandatory EDD; senior management approval
Countries subject to Canadian autonomous sanctions (SEMA/UN Act)	CRITICAL — transactions generally prohibited; legal review required
Countries with known terrorism or armed conflict	HIGH
Countries with high perceived corruption (Transparency International CPI bottom 30%)	HIGH
Countries with weak AML/ATF frameworks (non-FATF or FATF-non-compliant)	MEDIUM-HIGH
FATF member countries with strong AML/ATF frameworks	LOW-MEDIUM (standard due diligence)
Canada (domestic transactions)	LOW (baseline)

4.5 BWRA Methodology — Delivery Channel Risk

Channel	Risk Level
Anonymous digital channel / API with no face-to-face	HIGH — difficult to verify identity
Agent / sub-agent with limited supervision	HIGH — reliance on third-party controls
Online platform (verified client, MFA enabled)	MEDIUM
Mobile application (verified client)	MEDIUM
In-branch / in-person (verified photo ID)	LOW — highest level of identification confidence

5. CLIENT-LEVEL RISK RATING

5.1 Risk Scoring Model

Each client receives an overall risk rating based on weighted scoring across the following dimensions. The CCO reviews and may override automated ratings.

Risk Dimension	Low (1)	Medium (2–3)	High (4–5)
Client Type	Salaried employee; retiree	Self-employed; SME owner	PEP/HIO; trust; complex entity
Geography (origin)	Canada	FATF-compliant country	FATF grey/black list; sanctioned
Geography (destination)	Canada	FATF-compliant country	FATF grey/black list; sanctioned
Product/Service Used	Domestic FX; payroll chq cashing	International transfer; PPP	VC exchange; bulk cash FX
Transaction Value	Under CAD \$5,000	\$5,000–\$49,999	\$50,000 and above
Source of Funds	Verified employment/pension	Business income; investments	Unknown; unclear; multiple cash sources
Channel	In-person; branch	Verified online/mobile	Remote; unverified; anonymous
Adverse Information	None	Minor/old adverse info	Active investigations; sanctions hit

5.2 Overall Rating Thresholds

Aggregate Score	Risk Rating
8–12 points	LOW — Standard CDD; periodic review every 3 years
13–24 points	MEDIUM — Enhanced scrutiny; review every 2 years; additional source of funds inquiry
25–40 points	HIGH — Mandatory EDD; senior management approval; annual review; source of wealth required
Any FATF Black List / Sanctions hit	CRITICAL — escalate immediately to CCO; do not proceed without legal and senior management approval

6. RISK MITIGATION CONTROLS

Risk Level	Required Mitigation Measures
LOW	Standard KYC; transaction monitoring at standard thresholds; annual BWRA review; basic AML training for staff.
MEDIUM	Standard KYC plus source of funds inquiry; enhanced transaction monitoring; biennial KYC review; red flag training; CCO notification for unusual activity.
HIGH	Enhanced Due Diligence (EDD); written source of wealth statement; senior management approval; annual KYC review; enhanced transaction monitoring with lower alert thresholds; CCO review of all transactions above CAD \$10,000.
CRITICAL	Legal review before any transaction; sanctions compliance clearance; FINTRAC notification as applicable; potential STR filing; board-level awareness.

7. INHERENT RISK VS. RESIDUAL RISK

Luxora distinguishes between:

- Inherent Risk — the level of ML/TF risk before any controls or mitigations are applied.
- Residual Risk — the level of risk remaining after application of Luxora's controls.

The BWRA documents both inherent and residual risk levels for each dimension. Where residual risk remains above the Company's risk appetite, the CCO must escalate to senior management and the Board for risk acceptance or additional mitigation.

8. RISK APPETITE STATEMENT

Luxora Finance Ltd. has zero tolerance for knowingly facilitating money laundering, terrorist financing, or sanctions evasion. The Company accepts low residual ML/TF risk as an inherent feature of operating as an MSB, but will not accept:

- Business from clients with confirmed sanctions hits or ties to designated terrorist organizations.
- Transactions where beneficial ownership cannot be determined after reasonable efforts.
- Business relationships with clients in FATF Black List jurisdictions without senior management and legal approval.
- Transactions where source of funds is unknown and cannot be reasonably established for high-risk clients.

9. DOCUMENTATION AND REPORTING

- The completed BWRA is documented in a formal report signed by the CCO and presented to the Board of Directors within 30 days of completion.
- Client risk ratings are recorded in the client management system and updated upon each periodic review.

- Material changes to the BWRA risk landscape must be reported to the Board within 60 days of identification.
- All BWRA reports and client risk assessments are retained for a minimum of 5 years.

10. GOVERNANCE

Policy Owner	Chief Compliance Officer
Reviewed By	Senior Management and Board of Directors
Approved By	Board of Directors
Review Frequency	Annually, or upon material change
Effective Date	April 23, 2026